RAYMOND JAMES

Institutional Risk Tolerance Assessment — Maria Lopez

This questionnaire is designed to assess Maria Lopez's risk tolerance and investment preferences to help construct an appropriate investment portfolio. Responses will be used to determine a recommended asset allocation strategy.

WHAT ARE THE CLIENT'S TOTAL ASSETS?

- ■ $50,000,000+
- ■ $10,000,000 – $49,999,999
- ■ $5,000,000 – $9,999,999
- ■ **$1,000,000 – $4,999,999**
- ■ Below $1,000,000

Assets Under Consideration: $2,600,000

WHAT IS THE CLIENT'S TIME HORIZON?

- ■ 0–4 Years (3 points)
- ■ **5–10 Years (6 points)**
- ■ 11–20 Years (9 points)
- ■ 20 Years + (12 points)

Note: Maria indicated she may retire early and anticipates needing portfolio income within 5–7 years.

WHAT IS THE CLIENT'S PRIMARY INVESTMENT OBJECTIVE?

- ■ Income (3 points)
- ■ Growth & Income (6 points)
- ■ **Growth (9 points)**

WHAT IS THE CLIENT'S ANNUAL SPENDING / WITHDRAWAL POLICY?

- ■ **Low (0–2%) (3 points)**
- ■ Moderate (2–5%) (6 points)
- ■ High (5–7%) (9 points)

WHAT IS THE CLIENT'S AVERAGE ANNUAL RETURN EXPECTATION?

- ■ 0–3% (3 points)
- ■ 3–5% (6 points)
- ■ 5–7% (9 points)
- ■ **More than 7% (12 points)**

WHAT IS THE CLIENT'S OVERALL INVESTMENT APPROACH?

- ■ Prefers a relative level of stability in the overall portfolio (3 points)
- ■ Prefers to slightly increase investment value while minimizing the potential for loss of principal (6 points)
- ■ Prefers moderate investment growth with moderate to high levels of risk and principal fluctuations (9 points)
- ■ **Prefers meaningful investment growth with moderate to high levels of risk and principal fluctuations (12 points)**
- ■ Prefers maximum long-term returns with maximum risk and principal fluctuations (15 points)

HOW WOULD THE CLIENT REACT TO A PORTFOLIO LOSING 20% OF ITS VALUE IN THE FIRST YEAR?

- ■ Would be extremely concerned and liquidate the investment (3 points)
- ■ Would be concerned and consider liquidating the investment (6 points)
- ■ Would be concerned but not consider liquidating the investment (9 points)
- ■ **Would not be overly concerned given the long-term investment philosophy (12 points)**

WHICH OF THE FOLLOWING EVENTS DOES THE CLIENT FEAR THE MOST?

- ■ A loss of 10% of principal over a period of six months or less (3 points)
- ■ A loss of 10% principal over a one-year period (6 points)
- ■ Investment performance that consistently underperforms broad market benchmarks (9 points)
- ■ A missed investment opportunity that may have yielded moderately higher returns over the long term despite higher risk (12 points)
- ■ **A missed investment opportunity that may have yielded higher returns over the long term despite substantially higher risk (15 points)**

WHAT IS THE CLIENT'S OVERALL KNOWLEDGE OF INVESTMENTS?

- ■ None (3 points)
- ■ Low — Very little investment experience (6 points)
- ■ Moderate — Some investment experience (9 points)
- ■ **High — Extensive investment experience (12 points)**

ADDITIONAL INVESTMENT CONSTRAINTS

Maria holds a concentrated position in her employer's stock (NovaTech Industries, ~$120,000) which should be considered when evaluating large-cap domestic equity exposure. She anticipates early retirement within 5–7 years, which will influence future withdrawal planning.

RISK TOLERANCE QUESTIONNAIRE — SCORING SUMMARY

Question	Selected Response	Points
Time Horizon	5–10 Years	6
Primary Objective	Growth	9
Annual Spending Policy	Low (0–2%)	3
Return Expectation	More than 7%	12
Investment Approach	Meaningful growth, mod-high risk	12
20% Loss Reaction	Not overly concerned	12
Most Feared Event	Missed high-return opportunity	15
Investment Knowledge	High	12
TOTAL SCORE		**81**

RESULT: AGGRESSIVE (Score: 81 | Range: 75–90)

Portfolios with an aggressive objective are designed to provide maximum long-term growth potential. With a significant emphasis on equities, this objective prioritizes capital appreciation and is most appropriate for investors with a high tolerance for market fluctuations and a long-term perspective.

Suggested Asset Allocation — Aggressive

Asset Class	Target Allocation
Equity	~85%
Fixed Income	~8%
Alternative Investments	~5%
Cash & Cash Equivalents	~2%

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